Nexora Technologies Ltd.

Approval Rules and Exceptions

Who approves expense claims, and when exceptions to policy are allowed

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Contents

1. Purpose and Principles

2. Approval Authority Matrix

3. Approval Workflow and Timelines

4. Delegation and Absence

5. Segregation of Duties and Conflicts of Interest

6. Pre-Approvals

7. Exception Framework

8. Exception Catalogue

9. Rejection and Return Reasons

10. Appeals and Disputes

11. Fraud Indicators and Investigation

12. Reporting and Controls

13. Worked Cases

14. Frequently Asked Questions

1. Purpose and Principles

This document explains who may approve an expense claim at Nexora Technologies Ltd., how long approval should take, and when an approver may allow spending that goes beyond the Travel and Expense Reimbursement Policy (NX-FIN-POL-012) or the Meal and Hotel Spending Limits (NX-FIN-POL-013). It also lists every exception the Company recognises, so that employees know what to ask for and approvers know what they can grant.

Four principles guide the process. Approval is proportionate: low-value claims are approved quickly by the reporting manager, and higher-value claims face more scrutiny. Approval is independent: no one approves their own expenses or those of a person who approves theirs. Exceptions are the exception: they are allowed when there is a genuine business or safety reason, they are documented, and they are tracked. Decisions are explained: every rejection or return states the reason in the Expense Portal.

2. Approval Authority Matrix

The approval level depends on the total value of the claim, which is the sum of all items in it. The first approver is always the employee's reporting manager recorded in the HR system.

Claim value (INR)	Approvers required	Final authority
Up to 10,000	Reporting manager	Reporting manager
10,001 to 50,000	Reporting manager and department head	Department head
50,001 to 2,00,000	Department head and Finance Controller	Finance Controller
Above 2,00,000	Finance Controller and CFO	CFO

Claims raised by managers are approved by their own manager. Claims raised by department heads are approved by the CFO. Claims raised by the CFO are approved by the CEO. Claims by the CEO are approved by the Chair of the Audit Committee.

2.1 Authority to approve exceptions

Exception amount above policy limit	Who may grant
Up to INR 2,000 in total on a claim	Reporting manager
INR 2,001 to INR 10,000	Department head
INR 10,001 to INR 50,000	Finance Controller
Above INR 50,000, or any exception on international travel	CFO

The amount used is the total excess over the limit on the claim, not the total claim value. Splitting an excess across several claims to keep it below a threshold is treated as a control breach.

3. Approval Workflow and Timelines

Stage	Standard time	Escalation if delayed
Reporting manager review	2 working days	Reminder after 2 days; escalate to department head after 5 days
Department head review	2 working days	Reminder after 2 days; escalate to Finance Controller after 5 days
Finance policy check	3 working days	Escalate to Controller after 5 days
Exception decision	3 working days	Escalate to the next level of authority after 5 days
CFO review	5 working days	Escalate to CEO office after 10 days

The Expense Portal records the date and time of each action, and the approver's comments. An approver may approve, reject, or return a claim. Approval means the approver has checked the purpose, the amounts, and the receipts, and is satisfied that the expense was incurred for the Company. Approving a claim without opening the receipts is a breach of this document.

The total time from submission to payment should not exceed 10 working days for claims without exceptions, and 15 working days for claims with exceptions. Finance reports both numbers every month.

4. Delegation and Absence

Approvers who will be absent for more than 2 working days must set a delegate in the Expense Portal. The delegate must be at the same grade or higher and in the same reporting line. A delegate cannot approve a claim from a person who reports to them if there is a conflict of interest, and cannot approve their own claim.

- Delegation is limited to 30 days. Longer absence needs HR approval.
- When no delegate is set, the claim moves automatically to the next level after 3 working days.
- The delegate's approvals are visible in the portal and are reviewed by the original approver on return.
- A delegate cannot grant exceptions unless the delegation says so in writing, and only within the approver's own exception authority.

5. Segregation of Duties and Conflicts of Interest

Good control depends on keeping the person who spends separate from the person who approves and the person who pays. The following rules apply to all claims.

- No employee may approve a claim in which they are a beneficiary, including claims for trips taken together with the approver, unless the approver's own claim is approved by a higher level.
- Accounts Payable staff cannot create or approve claims in the portal.
- An employee cannot approve the claims of a person who approves their own.
- Family members and close relationships must be disclosed to HR. Claims between related persons are routed to the next level of approver.
- Approvers must not accept gifts or favours from employees whose claims they approve.

- Finance staff who review claims must not be in the same reporting line as the employee, except in the Finance department itself, where reviews are done by the Controller.

6. Pre-Approvals

Some expenses need written approval before the money is spent. Pre-approval can be given by email or through the portal, and the approval must be attached to the claim.

Situation	Pre-approval from	When
International travel	Department head and Finance Controller; CFO for L5 and L6	At least 14 days before departure
Conference or training with fee above INR 10,000	Department head	Before registration
Stay of more than 14 nights at one location	Department head and Finance Controller	Before booking (EX-12)
Client entertainment above INR 20,000 per event	Department head	Before the event
Use of personal vehicle for business	Reporting manager	Before the trip
Higher travel class (EX-07)	Department head, or CFO for premium class	Before booking
Travel advance above INR 50,000	Finance Controller	At least 5 working days before travel
Hotel above the cap for a planned event	Reporting manager	Before booking (EX-01)

Pre-approval does not replace the normal claim approval. The approver of the claim will still check that the actual spend matches what was approved.

7. Exception Framework

An exception allows the Company to pay an expense that would otherwise be refused. It is not a right, and not every request is accepted. The framework has five rules.

- An exception must match one of the codes in the catalogue. Requests that do not fit a code are referred to the Finance Controller as one-off cases.
- The employee selects the code, writes a justification of at least two sentences and attaches evidence.
- The approver within the authority table above decides. They may approve in full, approve in part or reject.
- Every exception is recorded in the portal with the code, approver, amount and date, and is reported monthly.
- An employee with more than three exceptions in a quarter is reviewed by the Finance Controller.

Approving an exception does not change the policy limit for others, and it creates no precedent. Each case is judged on its own facts.

8. Exception Catalogue

8.1 EX-01 - Hotel above cap during peak season or event

When it applies: The traveller needed to stay in a city during a festival, large event or holiday week when hotel rates rose sharply.
Evidence needed: Screenshots of rates, the event name and dates; within uplift limits in NX-FIN-POL-013 (up to 30 percent).
Who approves: Reporting manager up to INR 2,000; higher levels above.

8.2 EX-02 - Hotel above cap - no compliant hotel available

When it applies: No hotel within the cap was available within a reasonable distance of the work location.
Evidence needed: Screenshots showing unavailability or rates from at least two alternatives.
Who approves: As per authority table.

8.3 EX-03 - Meals above limit - customer hosting

When it applies: The employee hosted customers and spend per head was reasonable, but the daily limit was exceeded.
Evidence needed: Itemised bill, names and companies of guests, business reason.
Who approves: Reporting manager up to INR 2,000; department head above.

8.4 EX-04 - Airfare above cap - urgent travel

When it applies: Travel was booked within 7 days because of an urgent customer need or an incident.
Evidence needed: Email or ticket from the customer or manager showing urgency; fare comparison.
Who approves: Department head.

8.5 EX-05 - Receipt missing - lost receipt declaration

When it applies: The original receipt is lost or cannot be obtained.
Evidence needed: Signed declaration with amount, date, vendor and reason. Allowed up to INR 2,000 per claim and twice in a half-year.
Who approves: Reporting manager.

8.6 EX-06 - Late submission

When it applies: The claim was filed more than 30 days after the trip end date because of illness, leave or system outage.
Evidence needed: Written explanation and proof, such as leave record or system incident number.
Who approves: Finance Controller up to 60 days; CFO beyond 60 days.

8.7 EX-07 - Higher class of travel

When it applies: A higher class is needed for medical reasons, long overnight journeys or by the senior executive's approval.
Evidence needed: Medical certificate or approval email from the CEO or CFO.
Who approves: Department head; CFO for premium class.

8.8 EX-08 - Non-preferred hotel near client site

When it applies: The hotel is not on the preferred list but is near the client site and saves significant travel time.
Evidence needed: Distance and time comparison, rate screenshot.
Who approves: Reporting manager.

8.9 EX-09 - Local cab above cap - late-night or safety

When it applies: The employee travelled between 10 pm and 6 am, or was unable to use a cheaper mode for safety reasons.
Evidence needed: Ride receipts showing time, and a short note on the reason.
Who approves: Reporting manager.

8.10 EX-10 - Entertainment above per-head cap

When it applies: A customer event required a higher spend per head, approved by a senior executive.
Evidence needed: Guest list, approval email from the department head or CXO, itemised bill.
Who approves: Department head; CFO above INR 50,000.

8.11 EX-11 - International travel booked under 14 days

When it applies: The travel arose from an urgent need that could not be planned.
Evidence needed: Urgency email, visa timeline and itinerary.
Who approves: Finance Controller and CFO.

8.12 EX-12 - Extended stay beyond 14 nights

When it applies: The project required a stay of more than 14 nights at one place.
Evidence needed: Project plan, accommodation quotes and monthly-rate comparison.
Who approves: Department head and Finance Controller.

9. Rejection and Return Reasons

Claims that cannot be approved are either rejected or returned for correction. A claim is **returned** when the problem can be fixed by the employee, such as a missing receipt or an unclear description. A claim is **rejected** when the expense is not payable under the policy, even with correction.

Reason	Outcome	Notes
Receipt missing and no declaration possible	Return	Resubmit within 15 days
Description unclear or business purpose missing	Return	Add details
Wrong category used	Return	Re-categorise
Hotel or meal above limit without approved exception	Reject excess or whole item	Employee may request an exception
Submitted more than 60 days after trip end	Reject	CFO may approve in rare cases
Personal expense included	Reject item	Employee informed
Duplicate claim for the same expense	Reject	Referred to Internal Audit if repeated

Reason	Outcome	Notes
Missing pre-approval for required categories	Reject or return	Depends on severity
Receipt appears altered	Reject and escalate	Referred to Internal Audit

The reason is shown to the employee in the portal. If the claim is partially approved, the payment advice lists each approved and reduced item.

10. Appeals and Disputes

An employee who disagrees with a decision may appeal within 10 working days. The appeal goes to the next level of approver above the one who decided. If the decision was taken by the department head, the appeal goes to the Finance Controller; for the Finance Controller's decisions, to the CFO. The appeal must include new information or an explanation of why the decision was wrong.

The appeal body decides within 7 working days. Its decision is final, subject to the CFO's discretion to review cases where the amount is large or where a policy question is involved. A person whose appeal is rejected may still raise a concern with the Ethics Helpline if they believe the decision was unfair or discriminatory.

11. Fraud Indicators and Investigation

Finance and Internal Audit use the following indicators to identify claims that need closer review. An indicator is not proof of wrongdoing, and may have an innocent explanation.

- Receipts with the same serial number or vendor details used in more than one claim.
- Hotel stays or flights that overlap with leave or a period when the employee was at another location.
- Many items just below a receipt or approval threshold.
- Round-number amounts in several categories.
- Receipts that show alcohol, personal items or locations unrelated to the trip.
- High-value claims often approved by the same approver on the same day.
- Sequential receipts for different days from the same vendor.
- Claims for personal vehicles with distances that do not match the route.
- Frequent last-minute cancellations followed by new bookings.

When an indicator is found, Finance contacts the employee and the approver for an explanation. If the explanation is not satisfactory, Internal Audit opens an investigation. The employee has the right to explain, and any disciplinary action is handled by HR under the Code of Conduct. Where a loss is confirmed, the amount is recovered, normally through salary after notice, and may be accompanied by further action.

12. Reporting and Controls

Finance publishes a monthly control report with the following measures. The report goes to department heads and quarterly to the Audit Committee.

Measure	Target
Average days from submission to payment	Less than 10 working days
Share of claims with an exception	Less than 25 percent
Share of claims returned for correction	Less than 8 percent
Share of claims rejected	Less than 5 percent
Late submissions (more than 30 days)	Less than 5 percent
Claims approved without receipts opened	Zero
Audit sample findings requiring recovery	Less than 2 percent of sample

Internal Audit samples at least 5 percent of claims each quarter, including all claims above INR 2,00,000 and all claims approved under EX-06 beyond 60 days. Audit findings are shared with the approver and the Finance Controller, and repeated findings are reported to the Audit Committee.

13. Worked Cases

13.1 Hotel over the cap in Hyderabad

An L3 employee books a hotel at INR 8,200 per night for 2 nights in Hyderabad (Tier 1 cap INR 7,000). The excess is INR 2,400. The employee cites EX-02 with screenshots showing no inventory at the cap rate. Because the excess is between INR 2,001 and INR 10,000, the department head grants it and the claim proceeds.

13.2 Late claim

An employee returns from a 5-day trip, falls ill and submits the claim 41 days after the trip. The Finance Controller grants EX-06 on seeing a medical certificate. The claim proceeds at its normal approval level.

13.3 Lost taxi receipt

An employee loses 3 cab receipts totalling INR 1,450. A lost-receipt declaration under EX-05 is used and the reporting manager approves it.

13.4 Client dinner above cap

An L4 manager takes 4 guests to dinner. The bill is INR 14,000, against a cap of INR 12,500 (5 people at INR 2,500). The excess is INR 1,500. EX-10 is approved by the reporting manager because the excess is below INR 2,000.

13.5 Urgent flight

A customer escalates an outage and an L2 engineer flies the next morning. The fare is INR 28,500 against a cap of INR 22,000. EX-04 is approved by the department head.

13.6 Claim of INR 2,40,000

A group of three employees travels to London for a customer implementation. The combined claim is INR 2,40,000, so it needs the Finance Controller and the CFO. Pre-approvals for international travel are attached.

13.7 Duplicate receipt

Finance finds the same restaurant receipt in two claims by one employee. The second claim is rejected, Internal Audit is informed and a recovery note is sent.

13.8 Manager approves without review

A manager approves 12 claims in 2 minutes without opening receipts. Finance flags the pattern; the manager receives training and approval rights are restricted for 30 days.

14. Frequently Asked Questions

Q: Can my manager approve my hotel above the cap?
A: Only if the total excess on the claim is up to INR 2,000. Above that, the department head or higher must approve.

Q: Can I submit the exception after the claim?
A: Select the code and justification while submitting the claim. Adding it later requires the claim to be returned.

Q: How do I know the status of my claim?
A: The Expense Portal shows each stage with the date and the person handling it.

Q: What if two approvers disagree?
A: The more senior approver decides.

Q: Can an exception be approved by email?
A: Pre-approvals can be by email, but the exception decision is recorded in the portal.

Q: What if my manager is also the department head?
A: Then one approval counts for both levels, but the Finance Controller still checks the claim.

Q: Can Finance override an approver?
A: Finance can return or reject a claim that breaks policy, even if a manager has approved it.

Q: Are the limits for exceptions per claim or per quarter?
A: They apply to each claim. The number of exceptions per employee per quarter is monitored.

Q: Do exceptions apply to contractors?
A: Only if the contract allows reimbursement; otherwise no.

15. Appendix - Quick Reference of Exception Codes

Code	Description
EX-01	Hotel above cap - peak season or major event
EX-02	Hotel above cap - no compliant inventory available
EX-03	Meal limit exceeded - client or customer hosting
EX-04	Airfare above cap - urgent travel booked under 7 days
EX-05	Receipt missing - lost receipt declaration
EX-06	Late submission - beyond 30 days of trip end

Code	Description
EX-07	Higher class of travel - medical or senior approval
EX-08	Non-preferred hotel - proximity to client site
EX-09	Local cab above cap - late-night or safety
EX-10	Entertainment above per-head cap - CXO approved
EX-11	International travel booked under 14 days
EX-12	Extended stay beyond 14 nights